Merger of few more banks is in process. Please keep an eye on the newspapers to be updated.

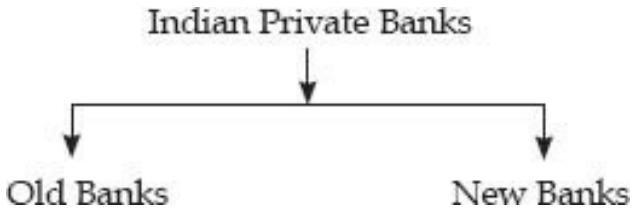
Private Sector Banks

Indian private sector banks consist of both Indian banks as well as foreign banks.

Indian Private Banks

Indian banks are classified as old and new private sector banks as shown in figure 7.6. This classification is done by RBI for the convenience of comparing performance of all Indian banks.

Figure 7.6



Old Banks

The banks except those were nationalised, continued to be in the hands of privates. These private banks and those banks which were set up before 1990s are called Old Banks.

New Banks

Banks set up in the private sector in 1990s and after are called New Banks.

The RBI issued final guidelines for new set of banks called Small Banks and Payment Banks. The RBI observes “Both payments banks and small banks are “niche” or “differentiated” banks; with the